

REVENUE MEMORANDUM CIRCULAR NO. 77-2024 issued on July 11, 2024, clarifies the invoicing requirements provided under Revenue Regulations (RR) No. 7-2024, as amended by RR No. 11-2024.

A VAT-registered person shall issue a duly registered **VAT Invoice** for every sale, barter, exchange or lease of goods or properties, and for every sale, barter or exchange of services **regardless of the amount of the transaction.**

A Non-VAT-registered person shall issue a duly registered **Non-VAT Invoice** for every sale, barter, exchange or lease of goods or properties, and for every sale, barter or exchange of services valued at Five Hundred Pesos (₱ 500.00) or more. However, if a buyer requests for an invoice, the seller must issue the same regardless of the amount of transaction.

The following rules shall be observed if the sale amount of a single transaction is ₱ 500.00:

- a. For VAT-registered sellers, the issuance of VAT Invoice for each sale transaction is required, regardless of the amount of transaction.
- b. For Non-VAT registered sellers, an invoice shall be issued in the following cases:
 - i. the amount of a single sale transaction is more than ₱ 500.00;
 - ii. the buyer requested/demanded an invoice, regardless of the amount of sales transaction;
 - iii. If at the end of the day, the aggregate amount of all sales transactions amounting to less than ₱ 500.00 exceeded the ₱500.00 threshold.

The ₱500.00 amount shall be adjusted to its present value every three (3) years, beginning January 22, 2024, or the effectivity of the EOPT Act, using the Consumer Price Index, as published by the Philippine Statistics Authority.

The sellers need to apply for a new Authority to Print (ATP) invoice and issue an invoice since it is now the primary evidence for recording sales of goods and services. An ATP must be secured before a seller can have an Accredited Printer print an invoice. However, during the transitory period, sellers may opt to use their remaining unused Official Receipts by converting them into Invoice.

Business style of the buyer or seller is not required to be indicated in the Invoice. However, the seller may indicate its business name in the Invoice for trade name or store name identification or branding purposes.

Upon effectivity of RR No. 7-2024, Official Receipt is treated as a supplementary document. Taxpayers, however, have the following options on the remaining unused Official Receipts:

Option 1: Continue the use of remaining Official Receipts as supplementary document; or

Option 2: Convert and use the remaining Official Receipts as Invoice following the requirements.

All unused or unissued Official Receipts may still be used as supplementary document until they are fully consumed, provided that each page of the unused Official Receipt must be stamped with the phrase “**THIS DOCUMENT IS NOT VALID FOR CLAIM OF INPUT TAX.**” Failure to do so will not make the document a valid replacement for the Invoice; hence, the seller may be considered as not issuing an Invoice and may be subject to applicable penalty.

Taxpayers may convert the remaining unused booklets of old Official Receipts and use the same as Invoice, or the Billing Statement/Statement of Account/Statement of Charges into Billing Invoice, until they are fully consumed, provided that, the word "Official Receipt/Billing Statement/Statement of Account/Statement of Charges into Billing Invoice" on the face of the manual and loose leaf printed receipt shall be stricken out [e.g. ~~Official Receipt~~] and shall be stamped "Invoice" or "Cash Invoice" or "Charge Invoice" or "Credit Invoice" or Service Invoice" or [e.g. ~~Billing Statement~~] "Billing Invoice", or any name describing the transaction for which such Invoice shall be issued to its buyer/purchaser.

Since the Official Receipt/Billing Statement/Statement of Account/Statement of Charges will serve as supplementary document, the conversion of such to Invoice/Billing Invoice as primary invoice is an option given to taxpayers, provided that the converted Invoice/Billing Invoice shall contain the required information provided under RR No. 7-2024, as amended, including details like quantity, unit cost and description or nature of service pursuant to Sec. 237 of the Tax Code. Missing information may be stamped on the document if not originally included, upon conversion.

The seller may convert the Official Receipt (sample format in Annex C. 1.2 or C.2 of Revenue Memorandum Order No. 12-2013) to an Invoice, provided that all the required information under Section 6(B) of RR No. 7-2024 are shown in the Official Receipt including the quantity, unit cost and description of goods sold or nature of service which are required under Section 237 of the Tax Code, as amended. The missing information may be stamped on the document if not originally included, upon conversion.

Taxpayers may use any descriptive name for its Invoice to describe the nature of the transaction/s with the buyer/purchaser, such as "Invoice", "Sales Invoice" "Cash Invoice", "Charge Invoice", "Credit Invoice", "Billing Invoice", "Service Invoice"; Provided, that in all such cases, the word "Invoice" is prominently printed.

Sales transactions are typically either cash (paid) or on credit (not yet paid) and an Invoice should be issued in both cases. A taxpayer may label or name its Invoice to reflect its specific sales transactions. To clearly identify the type of sale, the seller may use different descriptive names for the Invoice to reflect the nature of transactions, such as:

- Invoice - Issued for both sales of goods or services rendered
- Sales Invoice - General Purpose Invoice for any sales transaction
- Cash Invoice - Used for cash sales or specifically for sales where immediate payment is received
- Charge/Credit Invoice - Issued for sales on credit, where payment is expected at a later date
- Service Invoice - Used for transactions where a service is provided
- Billing Invoice - A document to bill charges similar to Charge Invoice and contains other information like statement of account, billing statement, summarizing charges for a specific transaction
- Commercial Invoice - A document used by exporter for export transactions
- Miscellaneous Invoice - Issued for other income received by the seller

Starting April 27, 2024, sellers of goods and services shall issue any of the above invoices for their transactions.

Service providers who billed their customers shall now issue a Billing Invoice upon billing instead of a Billing Statement or Statement of Account. The Billing Invoice should contain the required information provided under RR No. 7-2024, as amended, including the quantity, unit cost and description or nature of service pursuant to Sec. 237 of the Tax Code.

Sellers cannot issue an invoice upon receipt of payment. However, an Official Receipt or Payment Receipt or Acknowledgement Receipt may be issued upon subsequent collection or receipt of payment.

Taxpayers have the option on which Invoice/s may be used depending upon the transactions that will be issued such Invoice/s.

- a. Invoice/Sales Invoice issued for cash and/or credit sales
- b. Cash Invoice issued for cash sales and Credit/Charge Invoice issued for
- c. sales on account/credit sales
- d. Invoice/Sales Invoice for sales of goods and Service Invoice for sales of
- e. service
- f. Sales Invoice for primary sales transaction and Miscellaneous Invoice for
- g. other income
- h. Invoice/Billing Invoice issued to bill customers.

Taxpayers may have their own choice of using more than one type of Invoice. However, such choice should consider the transactions that will be issued said Invoice/s.

Taxpayers shifting from Official Receipt to Sales Invoice, or its equivalent Invoice replacement shall apply for a new ATP Invoice.

If the taxpayer is using different types of Invoices, each type or name of Invoice shall have a separate set of serial numbers starting from one (1) (e.g. 0000001) or any number (e.g. 5000001) or taxpayer may add prefix or suffix to make such number distinct.

For those opting to continue using Official Receipt as supplementary document, it shall continue the last approved serial number of its Official Receipt when applying for subsequent ATP for Official Receipt as supplementary document.

Taxpayers using CRM/POS/e-Receipting/e-Invoicing systems can now replace "Official Receipt" with a more descriptive term for their Invoices without the need for approval of the Revenue District Office. These terms may include:

- Invoice
- Cash Invoice
- Charge Invoice
- Credit Invoice
- Billing Invoice
- Service Invoice
- Any other term that accurately describes the transaction

Provided, that the serial number of the renamed Invoice shall start by continuing the series from the last issued Official Receipt. The seller shall submit a Notice in two (2) copies (both original), indicating the starting serial number of the converted Invoice and the start date when such serial number was/will be issued. Such Notice shall be submitted to the RDO/LT

Office/LT Division where the sales machines are registered. The receiving Branch RDO shall transmit the original copy of the said Notice to the Head Office RDO and retain the duplicate copy, for reference and audit purposes of both offices.

Taxpayers stamping Official Receipts as Invoices does not require approval from any RDO/LT Office/LT Division, but it must comply with Section 8(2.3) of RR No. 7-2024. However, the reporting of unused Official Receipts to be converted to Invoice is required. The taxpayer should obtain newly printed Invoices with an ATP before full consumption of the converted Official Receipts.

All unused manual and loose-leaf Official Receipts to be converted as Invoice shall be reported to the BIR by submitting an Inventory Report (suggested format - Annex C) of unused Official Receipts (in duplicate copies), indicating the number of booklets and the serial numbers of the unused Official Receipts converted to Invoice.

Taxpayers using CRM/POS machines/E-receipting (CAS/CBA with e-receipting) or E-Invoicing software that renamed the Official Receipts being issued to Invoice shall be reported by submitting a Notice on the Renaming of Machine/System Generated Official Receipt to Invoice (suggested format - Annex D) indicating the starting serial number of the converted Invoice and the start date when such serial number was/will be issued.

The said Inventory Report (Annex C) and Notice on the Renaming of Official Receipt to Invoice (Annex D) shall be submitted to the RDO/LT Office/LT Division where the Head Office or Branch Office is registered, or through the Taxpayer Registration Related Application Portal via email of the Compliance Section, on the following deadlines:

Annex	Deadline of Submission
Annex C - Inventory Report for Manual/Loose leaf	until July 31, 2024
Annex D - Notice on the Renaming of Official Receipt to Invoice — (for CRM/POS/CAS/ CBA with AR)	within thirty (30) days from the completion of machine/system reconfiguration/enhancement or on December 31, 2024, whichever comes first

The receiving Branch RDO shall transmit the original copy to the Head Office RDO and retain the duplicate copy, for reference and audit purposes of both offices.

Taxpayers who have already submitted the inventory report using Annex D of RMO No. 12-2013 or Letter Notice prior to the publication date of this Circular on the BIR official website are no longer required to resubmit the inventory report using the format outlined in Annex C or D of this Circular.

The taxpayer may submit the Inventory Report (Annex E) and Notice on the Renaming of Official Receipt to Invoice (Annex F) of all its branches, to the RDO where the taxpayer's Head Office is registered. The RDO of the Head Office shall transmit the copy of the respective branches to the concerned RDO.

However, if a taxpayer opted to submit Inventory Reports and/or Notices of other branches in a particular branch RDO, the taxpayer shall use the TRRA Portal to submit said reports and/or notices of all other branches.

To provide ample time in enhancing the system, adjustment shall be undertaken on or before December 31, 2024. Any extension due to enhancements of the system must be approved by the concerned Regional Director or Assistant Commissioner of the Large Taxpayers Service, which shall not be longer than six (6) months from December 31, 2024.

Taxpayers requesting for an extension to enhance their system shall notify the concerned RDO/LT Office/LT Division through the Compliance Section/concerned LT Office/Division, where they are registered, for approval of the concerned Regional Director or Assistant Commissioner of the Large Taxpayers Service, by submitting a Letter Request before December 31, 2024 stating the reason or justification for the request for extension, the target date of completion of enhancement, email address and contact details of the contact person.

The RDO/LT Office/LT Division shall act on the request within three (3) working days from receipt of the letter from the taxpayer and recommend for its approval/disapproval by the Regional Director or Assistant Commissioner. The Regional Director or Assistant Commissioner shall act on the request within three (3) working days from receipt of the recommendation of the RDO.

A VAT-registered person with mixed transactions may issue a single or separate Invoice for its Vatable, VAT-Exempt, and Zero-Rated sales.

Should the said seller opt to have only one Invoice, the VAT amount and sales amount must be broken down as to Vatable Sales, VAT-Exempt Sales, Zero-Rated Sales and the corresponding amount for each type of sale should be indicated in the Invoice.

Provided that if the seller opts to issue a separate Invoice for each type of sale, the word "VAT-Exempt Sale" or "Zero-Rated Sale" shall be written or prominently printed on each Invoice.

The issuance of such "Official Receipt" for every sale of goods or services after the prescribed period shall not be considered as evidence of sales of goods or services and shall be tantamount to failure to issue or non-issuance of Invoice required under Section 6(A) of RR No. 7-2024, which is subject to penalty of not less than One Thousand Pesos (₱ 1,000.00) but not more than Fifty Thousand Pesos (₱ 50,000.00) and imprisonment for not less than two (2) years but not more than four (4) years pursuant to Section 264(a) of the Tax Code.

Official Receipt, Payment Receipt, Collection Receipt, Billing Statement or Statement of Account under RR No. 7-2024 are supplementary documents. Hence, when issued upon sale of goods and services, it is not considered as evidence of sales of goods or services and shall be tantamount to failure to issue or non-issuance of Invoice required under Section 6(A) of RR No.7-2024. Such is subject to penalty of not less than One Thousand Pesos (₱ 1,000.00) but not more than Fifty Thousand Pesos (₱ 50,000.00) and imprisonment for not less than two (2) years but not more than four (4) years pursuant to Section 264(a) of the Tax Code.

A seller who is not VAT-registered and issued a VAT Invoice shall be liable to following, in addition to its Percentage Tax liability:

- a. VAT imposed under Section 106 or 108 of the Tax Code, without the benefit of any input tax credit; and
- b. A fifty percent (50%) surcharge under Sec. 248(B) of the Tax Code.

The VAT amount can be recognized as an input tax credit on the part of the VAT-registered purchaser under Section 110 of the Tax Code, as amended, if all of the following information are present:

- a. Amount of sales;
- b. VAT amount;
- c. Registered name and TIN as shown on the Bureau of Internal Revenue (BIR) Certificate of Registration of both purchaser or buyer and issuer or seller;
- d. Description of goods or nature of services; and
- e. Date of transaction.

If a VAT-registered seller issues a duly registered VAT Invoice to a VAT-registered buyer/purchaser with lacking information required under Section 3(B) and Section 6(B) of RR No. 7-2024, the seller or issuer shall be liable for non-compliance with the invoicing requirements.

However, the VAT amount shall still be allowed to be used as an input tax credit under Section 110 of the Tax Code, on the part of the VAT-registered purchaser or buyer, except if the lacking information pertains to any of the following:

- a. Amount of sales;
- b. VAT amount;
- c. Registered name and TIN as shown on the Bureau of Internal Revenue (BIR) Certificate of Registration of both purchaser or buyer and issuer or seller;
- d. Description of goods or nature of services; and
- e. Date of transaction.

The invoicing provisions of RR No. 7-2024 implementing RA 11796 is effective on April 27, 2024, which is fifteen (15) days from the date of publication on the BIR official website on April 12, 2024, including Section 8 of RR No. 7-2024 on the transitory provisions.

For the donations received by the above non-stock non-profit entities, a supplementary document, such as Non-VAT Official Receipt; Acknowledgment Receipt or Donation Receipt, shall be issued upon receipt of such donations. It should contain the name of the donor, date of donation, description of the donation (e.g., monetary contribution, in-kind donation, etc.), and the intended purpose of the donation (e.g. for the construction of the house of the orphans; medical expense of the children with cancer; tuition fee of qualified students; and other charitable and administration purposes).

However, should the above non-stock non-profit entities be engaged in any profitable undertaking or business activity, an invoice shall be issued for all business transactions, whether it be the sale of goods or services.

Sample layouts of the manual Invoice are attached as Annexes of the Circular.